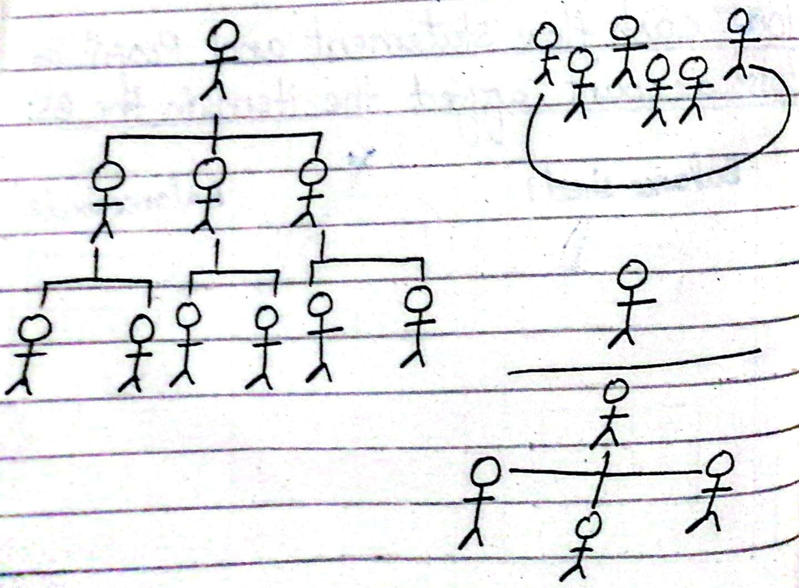
Topic #: (Chapter #4)

Anatomy of Software House

Anatomy:

- Anatomy is the study of:
  - Structure
  - Organization
  - Internal working
  - Hierarchy chart
- Anatomy may look like this:



Software house/The company:

⇒ A Software house is a company that primarily provides Software products.
OR
⇒ Company mainly interested in developing and distributing the Software products.

⇒ These companies may specialize in business or consumer software or Software-as-a-service products.

⇒ A hypothetical company Syniad Software Ltd was founded some ten years ago by four friends.

⇒ All four are members of the board of directors, along with two others who were recruited later.

⇒ The company specializes in the production of bespoke (customize) software for clients who demand work of high quality.

⇒ Syniad's head office is in London. Other offices are in Delft, Netherland & Manchester.

Anatomy of Software House
structure

Shareholders:

- Owners of the company.
- Elect the board of directors
- Vote on issues
- Same for private and public
- Companies.

Board of directors:

- Represents the shareholders interest
- Oversees the company operations by establishing board policies and setting out strategic objectives.
- They select, appoint, support and review the performance of the chief executive officer.
- Also can terminate the CEO.
- Also ensure the availability of the adequate financial resources.
- Approve annual budget.
- Set the salaries, compensation & benefits for the senior management.
- Accountable to stakeholders for the organization's performance.

CEO:

- Appointed by board of directors. Communicate on behalf of the company, with shareholders, government entities and the public.
- Lead the development of company short-term and long-term strategy.
- Create and implement the organization vision and mission.
- Evaluate the work of other executive leaders within the company.

Executive Team:

- Includes the CEO, chief financial officer, chief technology officer, chief operating officer and others.
- VP and c-level officers
- Managed by CEO

Managing Directors

Operational **Technical**

- responsible for all the revenue earning operations of the company.
- Ensure all projects completed satisfactory.
  ↳ resources are available.

Technical Director:

⇒ Responsible for:
- Quality management
- Research and development
- Technical training
- Marketing at a technical level.

Core Departments

1. Marketing and sales:

⇒ Responsible for acquiring new clients and promoting the company products or services.

Marketing:
- Process of creating value for a product or service and building the customer relationships.
- identifying and targeting potential clients
- Developing and executing marketing strategies.
- Managing sales pipelines & closing deals.
- Prepare and deliver appropriate presentations on products/services.

2. Client services:

⇒ Manages client relationships, ensures customer satisfaction, and provide support.

⇒ Key responsibilities are:
- understanding client needs and requirements
- Providing project updates and status reports
- Building long-term partnerships with clients.
- Develop and maintain existing client relationships.
- Direct developed client customize solutions.

3. Software development:

The heart of the company where the actual Software is created.

Key departments & responsibilities

Project managers:
- Oversee Software development projects from start to finish, ensuring they are complete on time, within budget and to the desired quality.

Software engineers:

Design, develop and maintain software applications, using various programming languages and tools.

Quality Assurance Engineers:

Test software for bugs and defects, ensuring it meets quality standards and functionality requirements.

User-Experience Designers:

Create intuitive and user-friendly interfaces that enhance the user experience and usability of the software.

4. Finance and Administration:

⇒ Handles financial matters, human resources and general administrative tasks.

⇒ Key responsibilities:

- managing the company finances, including budgeting, accounting & financial reporting.
- Recruiting and hiring new employees
- Managing employee benefits and payroll.
- Handle administrative tasks etc.

⇒ These core departments work together to ensure the successful development, delivery and support of software products and services. The specific structure and responsibilities within each department may vary depending on the size and project requirements of the software house.

- Shareholders
  - ↓ Board of directors
    - Operations Director
    - Technical directors
      - Chief-Executive
        - ↓ Executive Team
          - Sales & Marketing
          - Client-services
          - Software Development
            - → Project managers
            - → SE
            - → QAE
            - → User-experience designers
          - Finance & Administration

[From Book] Diagram of Company Structure

Chairman

managing Directors

Finance | Operations | Sales & marketing | Technical | overseas

Operations: Groups, Personnel

Syniad's Organizational Structure Type:

⇒ Shows elements of all three types of organizational structure.

- Functional division of responsibilities
- Geographical element represented by the director responsible for overseas operations.
- Centralization & Decentralization

Management of staff:

⇒ New employees + Old employees

Collectively called Outsiders.

Way to manage staff:

Staff Appraisals:

- Employees achievements and contributions to the company should be recorded.
- Staff knew what was expected of them and what they needed to achieve in order to gain promotion.
- Proper plans for training and career development were made and regularly reviewed.
- Employees were aware of the company's opinion of their performance.

Producing the Budget

⇒ Staff in the company are broadly divided into:

1. Technical or Revenue earning staff
2. Non-revenue earning staff

Both require different capital to work.

Monitoring financial Performance

- monitoring Syniad's performance against the budget should, in principle, be straightforward
- Each month, the income and expenditure under the various heads are compared and if significant deviations are observed, corrective action is taken.

⇒ To monitor financial performance, Company focuses on:
- Cost & Revenue
- Project Costing
- Sales

1. Cost & Revenue:

⇒ A major problem is caused by random fluctuations, themselves the product of many individual factors, for example
- Annual Budget & staff hiring
- Large projects cause deviation in Budget
- fixed price project estimation.

2. Project Costing:

⇒ Instead of monitoring the overall performance of the company, monitor the financial performance of individuals projects, through a project costing system.

⇒ The cost and revenue of each project are calculated each month and the Comulative gross margin (difference b/w total costs and total revenue to date on Project) calculated as a percentage of the total revenue.

3. Sales

- How to increase revenue?
- By doing so:
  - Increased charge rates
  - Better staff utilization
  - Increased no of staff
- All these factors influenced by the forward sale position → by the staff (1) required and rates earned (2) on the work - to which company (3) is committed in the coming months.
- Two reports are used for assessing and monitoring the sales position:
  - Confirmed sales report
  - Sales prospectus report.

Confirmed sales report:

⇒ A confirmed sales report is a document that list or detailed overview of sales transactions that have been finalized and are no longer pending or list of all things that company has sold. it shows who bought them, how much they cost and when the sale happened. This report helps the company know how much money they made and if they are selling the right thing.

Sales prospectus report:

⇒ Document that outlines the potensial for a specific sale or business opportunity. it is used to convince investors, partners or customers of the value.

Long-term Planning

- Strategic planning for future.
- The ability to plan strategically and to achieve strategic objectives.

⇒ Strategic planning has two related aspect
  - Identify appropriate long-term goal
  - Identify and formulate Plans to overcome problems that are hindering from attain these.

⇒ Long term planning involves:
  - Expansion plans
  - Company image
  - Product mix